

Business Process Change: A Historical Perspective

This presentation explores the evolution of business process change, highlighting key approaches and their impact on companies.



Systems Perspective (1960s)

The systems perspective looks at how all parts of a business work together as one system. When one part of a company changes, it can affect other areas, so businesses need to see the bigger picture.



Examples:

Starbucks

Starbucks' supply chain is tightly connected to store operations and customer experience. Disruptions in the supply chain can impact drink availability, leading to longer wait times and unhappy customers.

Hospitals

Hospitals connect departments like surgery and pharmacy to provide patients with the best care. A change in one department can affect the overall patient experience.

Value Chains (1985)

Michael Porter's value chain helps businesses understand each step of how they create and deliver products or services, and how to add value at every stage.

example of nike:



Business Process Reengineering (1990s)



Business Process Reengineering (BPR) focuses on rethinking and redesigning processes to improve performance by eliminating unnecessary steps or using new technologies.

1 Amazon

Amazon used BPR to optimize its delivery system, introducing warehouses closer to customers and automating packaging and shipping.

2 IBM

IBM improved its HR process by automating tasks, making things faster and easier for employees.

3 Walmart

Walmart changed its supply chain, saving money and making deliveries more efficient.

Six Sigma Movement (1980s-1990s)

Six Sigma is a method for improving business processes by using data to reduce errors and increase quality. It became popular in companies like Motorola and GE, and later many others.

Caterpillar	Improved manufacturing process, reducing defects and saving millions of dollars.
General Electric (GE)	Used Six Sigma to improve product quality and save money by reducing mistakes.
Bank of America	Made mortgage processing faster and improved customer service using Six Sigma.



Rummler-Brache Methodology

This process improvement approach that focuses on understanding and redesigning how work is done within an organization. It includes:

1. **Focus on Processes:** Examines entire workflows rather than isolated tasks or people.
2. **Three Levels of Analysis:**
 - **Organization Level:** Looks at how different departments interact.
 - **Process Level:** Analyzes specific processes for improvement.
 - **Job Level:** Reviews individual tasks and roles for efficiency.
3. **Identifying Problems and Opportunities:** Finds inefficiencies and areas for improvement by analyzing these levels.
4. **Designing Solutions:** Develops new workflows, communication tools, or training based on identified issues.
5. **Continuous Improvement:** Encourages ongoing assessment and adaptation of processes over time.

Example

In a coffee shop, the methodology might involve analyzing order processes to improve communication between staff, leading to better service and fewer mix-ups.

Overall, it helps organizations enhance their operations through a comprehensive and continuous approach.

Changes in Business Processes in the 1990s

Overview

In the 1990s, business process change focused on improving efficiency and competitiveness through **reengineering** and **technology adoption**.

Key Concepts

The concept of **Business Process Reengineering (BPR)**, popularized by **Michael Hammer**

aimed to radically redesign core business processes to achieve significant improvements in productivity.

Information Technology (IT) IN BPR

Information technology (IT) was a key enabler of Business Process Reengineering (BPR) in the 1990s. IT helped automate processes, streamline operations, and improve communication.

EXAMPLE :

A classic example is **Ford Motor Company** in the early 1990s. Ford used BPR to overhaul its accounts payable process.

Traditionally, Ford had a manual, paper-based system that required multiple approvals and redundant data entry. By integrating IT, Ford implemented an automated, electronic data interchange (EDI) system that streamlined the process. This reduced paperwork, eliminated the need for duplicate data entry.

Misuse of BPR

Some companies encountered challenges while implementing BPR, leading to issues such as:

1. **Over-Focus on Cost-Cutting:** Using BPR primarily for downsizing rather than genuine process improvement.
2. **Neglecting the Human Element:** Resistance to change due to lack of employee involvement hindered success.
3. **Over-Reliance on Technology:** Automating flawed processes instead of redesigning them led to missed opportunities for improvement.
4. **Rushed or Poor Planning:** Hasty execution of BPR initiatives without thorough analysis resulted in project failures.

Lean Methodology

- **Definition:** A methodology focused on maximizing value by eliminating waste in production processes.
- **Goals:** Improve efficiency, reduce costs, and enhance customer value by identifying and removing non-value-adding activities.
- **Key Principles:**
 - **Continuous Improvement (Kaizen):** Always seek to improve processes incrementally.
 - **Respect for People:** Emphasize the importance of employees in the improvement process.
 - **Tools:** Use methodologies like Just-In-Time (JIT) to optimize workflows and minimize waste.

- **Toyota Production System (TPS):**
 - **Foundation of Lean:** Developed by Toyota, emphasizing waste reduction (Muda), continuous improvement, and efficiency.
 - **Key Elements:**
 - **Just-In-Time (JIT):** Producing only what's needed, when it's needed.
 - **Jidoka:** Stopping production to fix problems immediately.
 - **Kaizen:** Ongoing, incremental improvements to enhance quality.

The Rise of Lean Methodology



Continuous Improvement (Kaizen)

Always looking for ways to do things better.



Just-In-Time (JIT)

Producing only what is needed, when it's needed.



Respect for People

Valuing the contributions of all employees.

Other Key Process Changes

Aside from BPR and Lean, several other process changes gained traction in the 1990s:

1. Total Quality Management (TQM):

- **Focus:** Continuous improvement and customer satisfaction.
- **Emphasis:** Quality in every aspect of the business, encouraging employee involvement and data-driven decision-making.

2. Six Sigma:

- **Definition:** A methodology aimed at reducing defects and variability in processes using data analysis and statistical tools.
- **Adoption:** Popularized by companies like Motorola and General Electric to achieve near-perfect quality by identifying and eliminating root causes of errors.

3. Outsourcing:

- **Trend:** Increasingly common to outsource non-core business functions (like IT, customer service, and manufacturing).
- **Benefit:** Allows companies to focus on their core competencies while improving efficiency and reducing costs.

4. Supply Chain Management (SCM):

- **Advancements:** Improved coordination and optimization of the entire supply chain, from raw materials to customer delivery.
- **Integration:** Adoption of integrated supply chain systems to streamline operations and reduce lead times.

The Internet's Evolution

In the 1990s, the internet rapidly evolved into a crucial platform for communication and business:

1. World Wide Web (WWW):

- **Launch:** Invented by Tim Berners-Lee in 1989 and popularized in the early 1990s.
- **Impact:** Made the internet more accessible with graphical interfaces and hyperlinks for easier navigation.

2. Commercialization:

- **Shift:** Transitioned from government and academic use to widespread commercial adoption.
- **Significance:** In 1991, restrictions on commercial use were lifted, leading to the rise of e-commerce, online advertising, and digital startups.

3. Dot-com Boom:

- **Growth:** Late 1990s saw a surge of internet-based companies, with rapid investments in online businesses like Amazon and eBay.

4. Email and Communication:

- **Mainstream Tool:** Email transformed global communication between individuals and businesses.

5. Search Engines and Browsers:

- **Tools:** Web browsers like Netscape and early search engines such as Yahoo! and Google (launched in 1998) helped users find and navigate vast amounts of online information.

A hand is pointing at a digital network graphic on a screen. The graphic consists of several white nodes connected by thin green lines, forming a complex web. The background is dark, and the hand is in the foreground, pointing towards the screen.

The Impact of Information Technology (IT)

Automation

IT automated processes, improving efficiency and communication.

Enterprise Resource Planning (ERP)

ERP systems integrated different business functions, making it easier to manage resources and customer interactions.

Business Process Change in the New Millennium

In the early 2000s, businesses began using Business Process Management Systems (BPMS).

“A **Business Process Management System (BPMS)** is a strategy tool that helps companies plan, organize, and improve their processes. It gives businesses a clear way to manage their tasks and goals, making sure everything is done more efficiently.to streamline operations and adapt to changing technologies”

They implemented BPMS to improve their logistics and delivery process. This allowed them to track packages in real-time and manage thousands of deliveries more efficiently, reducing costs and delivery times.

1

UPS

UPS implemented BPMS to improve logistics and delivery, allowing real-time package tracking and efficient management of deliveries.

2

McDonald's

McDonald's used BPMS to streamline its supply chain, ensuring fresh ingredients are delivered on time across thousands of locations.



BPMS

Why business process change is important

Businesses improve processes for different reasons depending on the economy.

In **bad economic times**, companies focus on being more efficient. For example, during the 2008 financial crisis, many businesses cut costs by automating manual processes. Retailers like Walmart invested heavily in automation to improve their supply chains, ensuring products were stocked quickly with minimal labor costs.

In **good economic times**, businesses focus on growth. For example, Apple expanded its product line with the iPhone, which required changes to its manufacturing and distribution processes to meet massive global demand.

1 Nike

Nike designs products in the U.S. but outsources manufacturing to countries like Vietnam and China, focusing on innovation and marketing while keeping costs down.

2 Apple

Apple outsources iPhone production to Foxconn in China, allowing for quick scaling of production while focusing on product design and software development.



Impact of Technology on Business

The rise of technology has had a huge impact on businesses, forcing them to change how they operate. For example:

Amazon revolutionized retail by allowing customers to shop online and have products delivered to their doorstep. To manage this, Amazon had to constantly improve its warehouse and delivery processes, using robots and AI to manage inventory.

Netflix shifted from mailing DVDs to streaming movies online. This required a complete overhaul of their business process to handle digital streaming, server management, and licensing content from around the world.

Globalization and Outsourcing

As businesses expanded globally, they began outsourcing operations to other countries.

A real-life example is **Nike**, which designs its products in the U.S. but outsources manufacturing to countries like Vietnam and China. This allows Nike to focus on product innovation and marketing while keeping costs down through cheaper labor.

The Future of Business Process Change

In the future, companies will need to adapt quickly to stay competitive.

Tesla

Tesla has forced the auto industry to rethink car design and manufacturing, prioritizing electric vehicles.

IKEA

IKEA has adapted to a digital world by creating online shopping platforms and improving logistics for faster home delivery.



Conclusion

Businesses have evolved to improve processes by understanding how all parts connect. The systems perspective aids companies like Starbucks in managing supply chains, while Michael Porter's value chain helps Nike add value at every stage.

Approaches like ***Business Process Reengineering (BPR)*** and **Six Sigma** have enhanced efficiency for companies like Amazon and Caterpillar. In the 2000s, Business Process Management Systems (BPMS) enabled firms like UPS and McDonald's to streamline operations.

In a changing economy, continuous improvement is crucial. To succeed, businesses must adapt quickly, optimize processes, and prioritize customer satisfaction.

Thank you